



STATEMENT OF ADVICE

Financial Planning Strategy

Prepared for:

Ms Candy Reitsema

Of

19 Wolseley Grove

BRIGHTON VIC 3186

Prepared on:

18th April 2023

By your Adviser:

Andrew Lord B Bus (Acc), Dip FS (Fin Plan)

Lakeside Financial

Level 1, 99 Bay Street

Brighton VIC 3186

Ph: 03 9596 5111 Fax: 03 9596 3222

Email: andrew.lord@lakesidefinancial.com.au

Authorised Representative # 324798

Pareto Group Pty Ltd

ABN 11 155 278 078 Australian Financial Services Licensee No. 418700

1/99 Bay Street, Brighton, Vic, 3186

Ph: 03 9596 5111 Fax: 03 9596 3222

What this document is about

This Statement of Advice (or SoA) is an important document.

- It provides you with information about our advice so you can make a decision about implementing the advice.
- It should be read in conjunction with other documents such as Product Disclosure Statements and our Financial Services Guide.

What to do after reading this Statement of Advice

Please contact us.

- If you have any questions.
- If we have omitted, overlooked or incorrectly understood any of your relevant circumstances.
- When you are ready to implement the recommendations.
- Or, if you decide you want to do something else and need our advice or assistance.

Ms Candy Reitsema
19 Wolseley Grove
BRIGHTON VIC 3186

18/04/2023

Dear Candy,

I am pleased to enclose your Statement of Advice (SoA).

It is an important document that you should read and understand before making a decision to proceed further.

We have based the strategies and recommendations in this document on our understanding of your current personal and financial position. If any of this information does not reflect any part of your current position, goals and objectives please advise us immediately and we will make the necessary changes.

The SoA sets out our recommended strategies to address your needs, together with a recommended course of action to implement these strategies.

When you are ready to proceed, we would be very happy to help you with the implementation of the advice, including the completion and lodgement of application forms and other documents.

Please note, our recommendations in this Statement of Advice are valid for 30 days from the date on the cover of this document. If your circumstances change before you implement our recommendations, or if you don't act on them within 30 days, they may no longer be appropriate for you. If that happens, please ask us to review your situation again before you take any action.

Once implemented, we should review your situation on a regular basis to ensure we make the most of any changes that may impact on the strategies I have recommended for you.

Yours sincerely,

Andrew Lord
B Bus (Acc), Dip FS (Fin Plan)
Authorised Representative No 324798 of
Pareto Group Pty Ltd

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Purpose of this document

The following Statement of Advice (SoA) is an outline of the financial plan discussed with your financial planner. It details the recommendations needed to execute your plan and achieve your financial objectives.

Timeframe for our advice

Our recommendations in this SoA are valid for 30 days from the preparation date on the cover of this document. If your circumstances change before you implement our recommendations, or if you don't act on them within 30 days, they may no longer be appropriate for you. If that happens, please ask us to review your situation before taking any action.

Check for accuracy

This SoA is based on the information you provided. Please read the document carefully, checking that your details are correct and that no important facts are missing. If anything is wrong or missing, please let us know immediately—otherwise our advice may be based on incorrect information and may not be right for you.

Limitations of our advice

We cannot give advice on:

- Trust or business structures
- Taxation
- General insurance
- Direct share or property purchases
- Legal matters

Please don't consider any of this document's recommendations to be advice in any of these areas. If you need advice in these areas, please see a qualified professional in that field.

Assumptions we've made

When giving advice, we make certain assumptions to demonstrate how the advice could affect your financial situation. We've based our advice on economic information and legislation that was current when we prepared your SoA.

All dollar amounts in this SoA are in today's dollars, even when we mention future income, expenses, investment amounts and so on. Naturally we can't predict what future inflation rates will be, so we can only make assumptions based on past trends. Also, all amounts listed in this document are "p.a." (per annum) unless otherwise stated or implied.

Product selection

We are committed to giving you the best products for your situation. When preparing your advice we considered and recommended only those products on Pareto Group's "Approved Product List". This list was compiled by a dedicated Investment Review Committee, which regularly reviews it. To see the complete product list, please ask us.

Introduction

You are entitled to receive a Statement of Advice (SoA) whenever we provide you with any personal financial advice. Personal financial advice is advice that takes into account any one or more of your objectives, financial situation and needs.

This SoA is a record of the personal financial advice provided to you and includes information on the basis on which this advice is given, information about remuneration including fees, any other benefits and any interests, relationships or associations which might influence the making of the advice.

If this advice includes a recommendation to you to acquire a particular financial product (other than securities) or an offer to issue or arrange the issue of a financial product to you, we will also provide you with a Product Disclosure Statement containing information about the particular product to help you make an informed decision about that product.

The Scope of Our Advice

In this statement of advice, the main-focus is on:

- Structure of Investment Assets
- Superannuation Contribution Strategies

This advice is based on information we have obtained from you. You must ensure the information is accurate and complete. Otherwise, this advice may be based on inaccurate or incomplete information relating to your investment objectives, financial situation or needs. You must therefore assess whether the advice is appropriate, in the light of your own individual investment objectives, financial situation or needs.

You recognise in each of the areas of advice we provide, we only provide advice to the extent we are able to under the relevant legislation.

Our Investment Recommendations

In respect of the specific investments we recommend as part of our advice you are entitled to a 14 day cooling off period for your initial investment. A cooling off period generally means a period of time after which you have provided your capital for investment, where you can change your mind and request for your capital to be returned to you.

Each fund manager or investment provider may implement the cooling off period in a slightly different manner. Therefore we recommend you refer to the Product Disclosure Statement for each of the recommended investments in order to understand the operation of each provider's cooling off period.

Your Adviser

At any time should you have any questions or concerns, in the first instance please contact your adviser Andrew Lord on (03) 9596 5111.

Andrew Lord is authorised to represent Pareto Group Pty Ltd. Should you wish to discuss matters of concern about your adviser or the advice you have received please contact us on 03 9596 5111.

The Planning Process

Candy, *Financial Planning* is a process to help you reach both your Personal and Financial Goals and Objectives. In order to achieve this we jointly need to undertake a number of tasks, including:

- ✓ Confirm your personal goals and lifestyle objectives;
- ✓ Quantify the resources required to meet your goals and objectives;
- ✓ Identify any gaps in your current plans and your stated goals and objectives;
- ✓ Develop suitable strategies to address any differences that may exist bearing in mind your attitude to investing and your risk profile;
- ✓ Conduct a regular review of the strategies we put into effect to ensure they keep pace with your changing needs, legislative changes and the investment environment.

Executive Summary

In this plan our advice considers the following areas of your financial circumstances.

Your Goals and Objectives

After our discussions I have listed below what we agreed were your key goals and objectives. The points listed below form the basis of the plan I have prepared, and therefore you should read them carefully now to ensure that we have an accurate foundation on which to proceed. If there are any modifications required, please advise us prior to the commencement of your financial plan.

Your goals and objectives are to:

- Invest your existing surplus funds under a structure that provides you with an annual gross income of \$70,000-\$80,000 per annum.
- Preserve your existing capital.

Personal Information

During our discussions and from the information you have provided, your Personal Details can be summarised as follows:

Personal Details

Title	Ms
First Name	Candy
Surname	Reitsema
Gender	F
Date of Birth	15/03/1947
Age Last Birthday	76

Employment Details

Employment Status	Retired
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Estate Planning

	Candy
Do you have a Current Will?	Yes
Do you have Current Powers of Attorney?	Yes
Do you have a Testamentary Trust?	Yes

Current Assets and Liabilities

The following table provides an estimate of your asset position *after you have received the sale proceeds of your recently sold residential property and assumes you then purchase a new residential property for \$2.0m.*

ASSETS	
Lifestyle Assets	Value
Residential Home (TBC)	\$2,000,000
Total Lifestyle Assets	\$2,000,000
Investment Assets	
Cash	\$1,800,000
Total Investment Assets	\$1,800,000
Superannuation Assets	
HESTA	\$52,250
Total Superannuation Assets	\$52,250
Total ASSETS	\$3,852,250
LIABILITIES	
Nil	\$0
Total Liabilities	\$0
NET WORTH	\$3,852,250

Notes: As the above information has been used in preparing our recommendations, please advise us of any errors or omissions.

The 'Total' column indicates the value of assets and liabilities which are owned by you. This report does not show the value of any portion of the asset or liability that may be owned by a third party or associated entity.

Your Investor Risk Profile

The following section of your plan helps to ensure that I clearly understand your attitude to investment selection. Additionally, investments contain various characteristics, which may or may not suit each individual investor.

Based upon your answers to the Investor Risk Profile questionnaire, it was determined that you can be classified as a **Moderately Conservative to Balanced** investor.

Typically, a **Moderately Conservative to Balanced** investor has the following characteristics:

- The Moderately Conservative to Balanced investor seeks a diversified portfolio with a balance of defensive and growth assets.
- This requires an investment time horizon of between 3 – 5 years.
- The portfolio would include a high portion of income bearing securities such as cash and fixed interest, with a small exposure to equities and property providing appreciation potential.

A **Moderately Conservative to Balanced** investor will typically diversify their investment in the following manner:

Australian Shares	29%
International Shares	17%
Property	12%
Fixed Interest	32%
Cash	10%

Our research indicates that long term returns will be best achieved through a diversified portfolio covering all major asset classes (i.e. Cash, Fixed Interest, Shares and Property).

By covering all primary investment markets the risks and volatility of your investments can be managed to levels consistent with your investment profile, whilst maintaining the potential for long term growth. Any recommendation will be based on your risk tolerance, while in balance with your goals and objectives.

Strategy Recommendation

Reasons For Seeking Advice:

- Candy, you have sold your Brighton residential property for \$3,800,000 and have recently received the deposit which equates to 10% of the sale price.
- Now you have received the deposit, you are looking to purchase a new residential property in the Brighton area for up to \$2,000,000.
- Candy, assuming a purchase price of \$2,000,000 you would then have the following investments held in cash outside of superannuation.

- *Cash* *\$1,800,000*

- Candy, you would like to use \$85,000 of this surplus cash to pay down your daughter Katja's mortgage.
- Therefore, you have **\$1,715,000** of cash available to you which you seek advice in terms of the best use of these funds that will generate an income of between \$70,000 to \$80,000 per annum to satisfy living expenses.

Downsizer Contributions

Currently, individuals of age 60 and over are able to contribute an amount equal to all or part of the sale proceeds from the sale of their main residence, of up to \$300,000 each into super. Downsizer contributions can be made regardless of the other contributions caps and restrictions that might apply to making voluntary contributions, ie age restrictions or work test requirements. There is no upper age limit on making downsizer contribution.

A member satisfies eligibility requirements if:

- The contributor is of age 60 from the 1st of July 2022 at the time of the contribution.
- The contribution is capped at \$300,000 per person.
- The main residence was owned by the individual, spouse or former spouse for 10 or more years prior to the sale.
- The contribution must be made into the fund within 90 days of the change of ownership.

Recommendation:

- Candy, you have recently sold your residential property which has resulted in net proceeds of approximately \$1,715,000.
- Based on the 'Downsizer' rule, it is recommended that you make the following contribution into superannuation.

Who	Type of contribution	Amount
Candy	Downsizer	\$300,000
Total		\$300,000

Benefits:

- Any assets held within the fund are effectively being held in the most tax effective environment.
- The returns on balances held within superannuation and invested should be higher than the current returns on cash held in bank deposits.

Risks:

- Superannuation benefits are subject to market returns and earning rates are not guaranteed.

Superannuation Funds

Candy, you currently have the following superannuation fund:

HESTA – Account Number 14148568

- The fund currently has a balance of approximately \$52,250.
- Once the 'Downsizer has been made into superannuation, the fund will have a new balance of approximately \$352,250.

Investments Within Superannuation

HESTA – Account Number 14148568

Candy, you have a superannuation fund with HESTA invested in the 'Balanced Growth' option.

The asset allocation of your HESTA Super portfolio is:

Asset Class	% of Portfolio
Australian Shares	24
International Shares	29
Property	6
Alternatives	2
Infrastructure	10
Private Equity	5
Fixed Interest / Bonds	19
Cash	5
	100%

Current HESTA Super Portfolio Profile Compared to a 'Moderately Conservative to Balanced' Benchmark

Asset Class	Current Portfolio	Benchmark Profile for a Moderately Conservative to Balanced Portfolio	Deviation
Australian Shares	24%	29%	-5%
International Shares	29%	17%	+12%
Property	6%	12%	-6%
Fixed Interest	19%	32%	-13%
Cash	5%	10%	-5%
Infrastructure	10%	0%	+10%
Private Equity	5%	0%	+5%
Alternatives	2%	0%	+2%

HESTA Super Portfolio Historical Performance at 28 February 2023:

	1 year	3 years (p.a.)	5 years (p.a.)
HESTA Super	1.70%	5.99%	6.42%

Recommendation:

- Candy, rollover the balance of your HESTA fund into the recommended wholesale platform invested in a “Moderately Conservative to Balanced” portfolio.

Master Trust Platforms (Colonial First State)

Your investments in the Colonial First State platform would have a specifically modelled portfolio directly in line with your ‘Moderately Conservative to Balanced’ Investor Risk Profile. The specific underlying funds that make up your individual portfolios would be:

Candy

Colonial First State Wholesale Personal Super – ‘Moderately Conservative to Balanced’ portfolio

	% of portfolio
Realindex Wholesale Australian Share Value	10%
Ausbil Wholesale Australian Active Equity	10%
First Sentier Wholesale Australian Small Companies	9%
Colonial First State Wholesale Index Global Share	8.5%
Acadian Wholesale Sustainable Global Equity	8.5%
Pendal Wholesale Property Investment	6%
Ironbark Wholesale Property Securities	6%
Acadian Wholesale Defensive income	10%
Perpetual Wholesale Diversified Income	32%
Acadian Wholesale Global Equity Long Short	0%
	100.00%

Performance of the alternative Colonial First State with Asset Allocation aligned with your current HESTA Super Portfolio at 28 February 2023:

	% of portfolio	1 year	3 years p.a.	5 years p.a.
Realindex Wholesale Australian Share Value	8%	9.29%	10.66%	9.03%
Ausbil Wholesale Australian Active Equity	8%	8.84%	10.98%	9.31%
First Sentier Wholesale Australian Small Companies	8%	-3.12%	10.52%	10.01%
Colonial First State Wholesale Index Global Share	14.5%	-1.19%	7.16%	8.82%
Acadian Wholesale Sustainable Global Equity	14.5%	2.23%	10.32%	9.77%
Pendal Wholesale Property Investment	8%	-5.59%	1.31%	6.74%
Ironbark Wholesale Property Securities	8%	-7.51%	1.97%	6.51%
Acadian Wholesale Defensive income	5%	5.04%	1.72%	1.44%
Perpetual Wholesale Diversified Income	19%	1.74%	1.57%	1.64%
Acadian Wholesale Global Equity Long Short	7%	13.09%	17.73%	13.60%
	100%	1.80%	7.00%	7.36%

Performance of the alternative Colonial First State Moderately Conservative to Balanced Portfolio at 28 February 2023:

	% of portfolio	1 year	3 years p.a.	5 years p.a.
Realindex Wholesale Australian Share Value	10.00%	9.29%	10.66%	9.03%
Ausbil Wholesale Australian Active Equity	10.00%	8.84%	10.98%	9.31%
First Sentier Wholesale Australian Small Companies	9.00%	-3.12%	10.52%	10.01%
Colonial First State Wholesale Index Global Share	8.50%	-1.19%	7.16%	8.82%
Acadian Wholesale Sustainable Global Equity	8.50%	2.23%	10.32%	9.77%
Pendal Wholesale Property Investment	6.00%	-5.59%	1.31%	6.74%
Ironbark Wholesale Property Securities	6.00%	-7.51%	1.97%	6.51%
Acadian Wholesale Defensive income	10.00%	5.04%	1.72%	1.44%
Perpetual Wholesale Diversified Income	32.00%	1.74%	1.57%	1.64%
Acadian Wholesale Global Equity Long Short	0.00%	13.09%	17.73%	13.60%
	100%	1.90%	5.47%	5.78%

Benefits:

- The alternative portfolio has outperformed your current fund under the same asset allocation.
- A sector specific asset allocation strategy takes advantage of expert fund managers who specialise in that single sector.
- You will have access to a wide range of investment options which cannot be accessed in your current funds.
- The alternative wholesale fund platform has a wide range of investment options with access to more than one specialist manager within each asset class.
- The alternative wholesale fund platform allows for ongoing monitoring and management of the fund's performance and asset allocation.
- You would continue to receive ongoing advice from us as your financial adviser as we will have full access to information relating to the recommended superannuation fund. This will enable us to provide thorough and timely advice to you.

Replacement of an Existing Product

Candy

Type of Fee or Cost	HESTA Super	Colonial Wholesale Allocated Pension
Contribution/Entry fee – this is the fee for initial and subsequent contributions.	Nil	Nil
Withdrawal/Exit Fee – this is the fee for each withdrawal you make	Nil	Nil
Switching Fee – fee charged for switching between investment options in the super fund.	Nil	Nil
Administration Costs – are the fees and costs that cover the operation of the fund. They include admin, member and other fees charged by the product issuer	Admin. Fee 0.15% + \$52 p.a.	Nil
Adviser Service Fee – additional fee paid to financial adviser	Nil	\$90 p.m.

Outcomes Post Implementation - Candy:

- The Colonial First State Wholesale portfolio has **outperformed** your current Hesta Super Fund on a 'like for like' basis over the past 5 years by an average of **0.94%** p.a. Based on your future estimated balance of \$352,250, this equates to \$3,311.15 p.a.

Colonial FirstChoice Management Fee – Recommended Superannuation Portfolio

Colonial FirstChoice charges a Management Expense Ratio to cover their administration costs and the associated costs of managing your funds. Based on your proposed portfolio value, we have provided an estimation of the costs you will pay.

Colonial FirstChoice Wholesale Personal Super	MER %	Amount invested ^① \$	Estimated fee \$
Realindex Wholesale Australian Share Value	0.64%	\$35,225	\$225
Ausbil Wholesale Australian Active Equity	1.04%	\$35,225	\$366
First Sentier Wholesale Australian Small Companies	1.15%	\$31,703	\$365
Colonial First State Wholesale Index Global Share	0.35%	\$29,941	\$105
Acadian Wholesale Sustainable Global Equity	1.02%	\$29,941	\$305
Pendal Wholesale Property Investment	1.09%	\$21,135	\$230
Ironbark Wholesale Property Securities	0.86%	\$21,135	\$182
Acadian Wholesale Defensive income	0.64%	\$35,225	\$225
Perpetual Wholesale Diversified Income	0.95%	\$112,720	\$1,071
Total ongoing fees^①	0.87%	\$352,250	\$3,075

- ① Colonial FirstChoice's Management Fee is calculated on the value of your total portfolio. As such we have used your proposed portfolio to estimate your annual ongoing fee.

Please note that these fees are built into the unit prices and are reflected within the performance figures of the fund. They are not transactions that are deducted from your account.

Investments Outside of Superannuation

- You will have approximately \$1,415,000 in surplus cash available to you once you have exhausted all superannuation caps.
- You seek advice on the best use of these funds.

Recommendation:

In line with your Moderately Conservative to Balanced Investor Risk Profile:

- Commence a Colonial First State Wholesale Investments Account with \$820,700 (58%) invested to form the growth portion of the Portfolio.
- Candy, you have two options in how the defensive portion can be invested.
 - **Option 1:** Invest \$594,300 into a Challenger Guaranteed Annuity (Liquid Lifetime), issued by Challenger Life Company Limited (Challenger).
 - **Option 2:** Invest \$594,300 (42%) in a high interest Bank Account.

Asset Allocation

Based on a '**Moderately Conservative to Balanced**' portfolio we would suggest that the funds be invested in the following manner:

Growth Assets	Asset Class	Amount	% of Total Portfolio
CFS Wholesale Investments Account	Aus Equities	\$418,557	29.58%
	Int Equities	\$238,003	16.82%
	Property	\$164,140	11.60%
		\$820,700	58.00%

Defensive Assets	Asset Class	Amount	% of Total Portfolio
Challenger Annuity	Fixed Interest	\$594,300	42.00%
OR			
Bank Account	Cash	\$594,300	42.00%

Total		\$1,415,000	100.00%
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Colonial First Choice Wholesale Investment

We recommend the remaining funds to be invested in a tailored portfolio within the Colonial First Choice Wholesale Investments Platform. The specific underlying funds recommended below have been selected based on:

- Providing an 'Moderately Conservative to Balanced' portfolio.
- An emphasis on funds whose aim is to provide income (via distributions), together with capital growth.
- Diversification within asset classes

The specific underlying funds that make up this portfolio would be:

Asset Class	% of Portfolio	Value
Realindex Wholesale Australian Share Value	17.00%	\$139,519
Ausbil Wholesale Australian Active Equity	17.00%	\$139,519
First Sentier Wholesale Australian Small Companies	17.00%	\$139,519
Colonial First State Wholesale Index Global Share	29.00%	\$238,003
Ironbark Wholesale Property Securities	10.00%	\$82,070
Pendal Wholesale Property Investment	10.00%	\$82,070
	100%	\$548,100

Performance of the alternative Colonial First State Balanced Portfolio at 28/02/2023:

	% of portfolio	1 year	3 years p.a.	5 years p.a.
Realindex Wholesale Australian Share Value	17.00%	8.87%	10.23%	8.42%
Ausbil Wholesale Australian Active Equity	17.00%	8.60%	11.12%	9.16%
First Sentier Wholesale Australian Small Companies	17.00%	-4.12%	11.22%	10.57%
Colonial First State Wholesale Index Global Share	29.00%	-1.47%	7.71%	9.56%
Ironbark Wholesale Property Securities	10.00%	-8.42%	1.93%	7.05%
Pendal Wholesale Property Investment	10.00%	-6.29%	1.27%	7.42%
	100%	0.37%	8.09%	9.00%

Benefits:

- Your funds will be invested in a manner that aims to provide you with sufficient income
- The Colonial Platform offers flexibility in terms of offering access to in excess of 100 underlying funds that can be incorporated into your portfolio
- The underlying funds are actively managed by a diverse range of fund managers
- You will receive ongoing advice and reporting

Colonial FirstChoice Management Fee – Recommended Investment Portfolio

Colonial FirstChoice charges a Management Expense Ratio to cover their administration costs and the associated costs of managing your funds. Based on your proposed portfolio value, we have provided an estimation of the costs you will pay.

Colonial FirstState FirstChoice Investments	MER %	Amount invested ① \$	Estimated fee \$
Realindex Wholesale Australian Share Value	0.61%	\$139,519	\$851
Ausbil Wholesale Australian Active Equity	1.01%	\$139,519	\$1,409
First Sentier Wholesale Australian Small Companies	1.11%	\$139,519	\$1,549
Colonial First State Wholesale Index Global Share	0.31%	\$238,003	\$738
Ironbark Wholesale Property Securities	0.81%	\$82,070	\$665
Pendal Wholesale Property Investment	1.06%	\$82,070	\$870
Total ongoing fees①	0.74%	\$820,700	\$6,081

- ① Colonial FirstChoice's Management Fee is calculated on the value of your total portfolio. As such we have used your proposed portfolio to estimate your annual ongoing fee.

Please note that these fees are built into the unit prices and are reflected within the performance figures of the fund. They are not transactions that are deducted from your account.

Investment Recommendation

Colonial FirstChoice Wholesale Investments

The FirstChoice Investments is a multi-manager investment solution which combines wide investment choice with a competitive and simple fee structure, backed up by a high standard of service support from Colonial First State.

A minimum total investment of \$5,000 (\$1,500 for super) is required to establish an account in FirstChoice Investments. A \$1,000 minimum initial balance is required if a regular investment plan is set up at commencement of the account. The minimum regular investment plan amount is \$100 per month.

Reasons and Benefits

The major features of the Colonial FirstChoice Investments are as follows:

Sector Specific Diversification

A wide range of investment options with access to more than one specialist manager within each asset class. This approach captures the competitive advantages of each manager. We anticipate this will provide higher returns than can be obtained from using diversified funds with, say, only one fund manager.

Simplicity

Consolidated reporting from Colonial First State.

Ease of Management

Automatic investment re-balancing and switching to help you easily and conveniently keep your investment strategies on track.

- We recommend that annual automatic rebalancing is elected.

Highly competitive and simple to understand fee structure

- No entry fee applies to this investment however, with your agreement; your Financial Adviser may wish to charge a one-off fee for upfront costs.
- You can agree with your Financial Adviser to have an ongoing Adviser Service Fee for advice paid directly from your investment. The ongoing fee will be deducted monthly from your investment options.
 - **A \$90 per month Adviser Service Fee will apply to the superannuation portfolio**
 - **A \$200 per month Adviser Service Fee will apply to the investment portfolio**
- No switching fees or exit fees apply to this investment.

Defensive Assets:

Candy, you have two options in which you can hold the defensive portion (42%) of your overall portfolio.

Option 1: Challenger Annuity

Consider investing into a Challenger Guaranteed Annuity (Liquid Lifetime), issued by Challenger Life Company Limited (Challenger) with the following details and features.

	Details
Ownership	Candy Reitsema
Superannuation money	No
Investment amount	\$594,300
Regular payment*	\$3,974.04 p.m. (\$47,688.48 p.a.)
Indexation	Nil
Frequency of payments	Monthly
Policy term	Lifetime
Benefit reduction	No reduction
Liquidity option	Regular Income
Withdrawal period	13 years

* The regular payment amount is based on a quote obtained from Challenger as at 12/04/2023 which is current for 14 days from that date. A new quote will be required if you invest after this date. A copy of the quote is attached as an appendix to this Statement of Advice.

The Challenger Guaranteed Annuity (Liquid Lifetime) is recommended because it:

- provides you with guaranteed regular payments for your lifetime.
- can reduce your assessable assets for Centrelink purposes as the annuity's assessable value reduces from 100% of the investment amount to nil over your life expectancy.
- can reduce your assessable income for tax purposes due to part of your regular payments not being included as assessable income.
- is a secure investment, with protections through the annuity being issued through the Challenger statutory fund and APRA regulation of Challenger.
- allows you to withdraw from the annuity as a lump sum within the 13-year withdrawal period if your needs change.
- provides a guaranteed withdrawal benefit upon death if you pass away within the first six years equal to the full amount of capital initially invested.

How the annuity works

We have recommended that you invest \$594,300 into the Challenger Guaranteed Annuity (Liquid Lifetime) with a withdrawal guarantee of 100% death benefit in the first 6 years.

Your regular payments are determined at the start of the annuity and Challenger will make those payments for your lifetime. This provides you with greater certainty and removes some of your longevity risk.

We recommend you select monthly payments to best suit your cash management and budgeting requirements.

You have the flexibility to cancel the annuity at any time during the withdrawal period (13 years). The withdrawal value across the first 6 years will be equal to 100% of the initial capital invested. After this time, your death benefit will equal the maximum withdrawal amount.

Taxation impact

The regular payment you receive each year may be included in your assessable income and subject to tax at marginal tax rates plus applicable government charges.

If you voluntarily end the annuity within the withdrawal period and receive a lump sum the amount repaid will be made up of a capital component (which represents a return of your capital) and an income component. The capital component represents a return of your remaining capital (your original amount invested less capital paid to you as part of each regular payment) and, as such, is tax free. The amount repaid that is in excess of the capital component is considered to be assessable income in the year that it is received. This amount is then added to your assessable income for the relevant year and taxed at your marginal tax rate plus applicable government charges.

Security of your investment

Challenger is regulated under the Life Insurance Act 1995 (Cth) (Life Act) (which governs the provision of annuities in Australia) and the prudential standards made under it, which prescribe minimum capital and solvency requirements for Challenger as well as for the annuity business it writes.

The Australian Prudential Regulation Authority (APRA) actively supervises Challenger's compliance with these requirements to ensure that Challenger is able to meet its obligations to investors. For example, Challenger is required to hold enough capital to withstand a 1 in 200-year shock event.

Even so, unforeseen and extreme circumstances that might impact Challenger's ability to make payments to you can never be completely ruled out.

Further information can be found in the Challenger Guaranteed Annuity (Liquid Lifetime) Product Disclosure Statement (PDS) at www.challenger.com.au.

Comparison to other investment options

We have compared the impact of the Challenger Guaranteed Annuity (Liquid Lifetime) to an investment in a cash account or term deposit. The comparative advantages of the annuity are shown in the table below:

	Guaranteed Annuity	Cash/term deposit
Payments	Determined at the start which allows for income certainty	May be variable over time which leads to income volatility
Length of income	Guaranteed for life	The length of the term deposit or until the cash account balance runs out
Assessable income • Centrelink/DVA • Taxation of regular payments • Taxation of a withdrawal	• Nil • Nil • A portion is taxable	• Deeming rules • Actual income is taxable • Tax-free
Centrelink/DVA asset assessment	Reducing value	Account balance
Security	Regulated by APRA	May be guaranteed by the Government
Liquidity	• Can be withdrawn during the withdrawal period	Can be withdrawn
Amount payable on death	• Death benefit payable during the withdrawal period, please refer to the quote for a detailed breakdown	Account balance

Disadvantages of the Guaranteed Annuity

All investment strategies contain both advantages and disadvantages. The important potential risks that may arise from adopting the recommendation to invest in a Challenger Guaranteed Annuity (Liquid Lifetime) include:

- Once commenced, you are unable to change the terms and conditions or regular payments.
- If you pass away during the withdrawal period a withdrawal benefit will be paid but this may be less than the amount you invested.
- If you end the annuity during the withdrawal period a withdrawal benefit will be paid but this may be less than the amount you invested, even after taking into account the payments you have received.
- If you end the annuity during or at the end of the withdrawal period, some or all of your withdrawal benefit may be assessable income for tax purposes
- The annuity cannot be withdrawn after the withdrawal period has ended; however, the regular payments will continue for your life.
- The regular payments are not indexed and over time the purchasing power may decline due to the effect of inflation.
- Legislation may change in the future which can impact on how this annuity is assessed for Centrelink/Veterans' Affairs and taxation.

Option 2: High Interest Bank Account

Candy, the second option that you can structure your defensive component is in a 'High Interest' Bank Account. Any of the three following bank accounts would be suitable:

Provider	Account	Interest Rate	Balance Required
Macquarie	Savings Account	3.45%	Between \$250,000 and \$1,000,000
ING	Savings Accelerator	3.70%	More than \$150,000
Great Southern Bank	eSaver Flexi Account	4.00%	Nil conditions

- Based on the amount that will be invested in the defensive component of the portfolio, \$594,300 invested in the most conservative option (Macquarie) will generate interest of \$20,503.

For Consideration:

Option 1:

- Provides greater income certainty over the long term (i.e. lifetime income stream).

Option 2:

- Provides greater capital preservation over the medium term.

Cash Flow

- Candy, you would like to draw down \$75,000 of income per annum to satisfy living expenses.
- The make-up of the various income streams will come down to how you would like to structure the defensive component of your overall portfolio. Either investing \$594,300 (42%) in the Challenger Lifetime Annuity or in a high interest Savings Account.
- The Growth portion of the portfolio equates to \$820,700 (58%) and will be invested in a CFS Wholesale Investment Account.
- The make-up of the income streams is outlined below.

Option 1: Challenger Annuity

Based on the guaranteed payment of \$48,162 p.a. from the Challenger Annuity the remaining \$26,838 must be generated from the CFS Wholesale Investments account. The average investment return over the past 5 years from the recommended portfolio within the Colonial Investment totals is 9.0% p.a. This equates to \$73,863 p.a.

As such in order to generate an income of \$75,000 p.a. it is recommended that of the \$73,863 generated in growth; only \$26,838 is taken as income along-side the \$48,162 lifetime income stream from the Challenger Annuity and the remaining \$47,025 should remain within the portfolio.

Income Stream:

Challenger Annuity	\$47,688
CFS WS Investment	<u>\$27,312</u>
Total	\$75,000

Option 2: High Interest Bank Account

In line with your Moderately Conservative to Balanced Investor Risk Profile, it is in your interest to keep this asset allocation throughout retirement whereby the growth portion makes up 58% and the defensive portion makes up 42% of the overall portfolio.

Therefore, 42% of the income of the stream should be taken from the 'High Interest' Bank Account and 58% should be taken from the CFS Wholesale Investments account. This equates to an income stream of \$31,500 drawn down from the 'Bank Account' and an income stream of \$43,500 drawn down from the CFS Wholesale Investment Account.

It is recommended of the \$73,863 generated in growth; only \$43,500 is taken as income alongside the \$31,500 drawn down from the bank account. The remaining \$30,363 should remain within the portfolio.

Income Stream:

Bank Account	\$31,500
CFS WS Investment	<u>\$43,500</u>
Total	\$75,000

Investment Structures & Associated Retirement Projections:

Assumptions:

- 13-year projections.
- Superannuation capital increases by 5.0% p.a. (Moderately Conservative to Balanced)
- Bank Account Interest Rate of 3.45% p.a.
- CFS Wholesale Investment Acc Returns 7.50% p.a. (High Growth)
- Please note the value of your eventual new Residential Property is not included in these projections.

Current Total Super and Investment Capital is as follows.

Total Super Capital (Net Retirement Capital):	\$52,500
Investment Assets	\$1,715,000
Total Net Assets:	\$1,767,500

Scenario 1:

- Retain current position.
- \$75,000 drawdown from a 'High Interest' Bank Account

	After 13 Years
Total Super Capital:	\$93,833
Investment Assets:	\$1,484,473
Total Retirement Capital:	\$1,578,307

Scenario 2:

- Invest \$594,300 in a Challenger Lifetime Annuity.
 - Income stream of \$48,688.
- CFS Wholesale Investment Account is commenced with an initial investment of \$820,700
 - Income stream of \$27,312.

	After 13 Years
Total Super Capital:	\$632,590
Investment Assets:	\$1,451,547
Total Retirement Capital:	\$2,084,137

Scenario 3:

- Invest \$594,300 in a 'High Interest' Bank Account.
 - Income stream of \$31,500.
- CFS Wholesale Investment Account is commenced with an initial investment of \$820,700
 - Income stream of \$43,500

	After 13 Years
Total Super Capital:	\$632,590
Net Investment Assets:	\$1,587,479
Total Net Assets:	\$2,220,069

A copy of the calculations used to derive the different outcomes detailed above is contained in the appendix at the rear of this Statement of Advice

What is paid to your adviser

Plan Fee

You have agreed to a fixed fee of \$3,000+GST p.a. for preparation, presentation and implementation of this Statement of Advice. This will be invoiced to you.

Upfront and Ongoing Fee Disclosure

An Adviser Service Fee will apply to any Colonial FirstChoice investments implemented. This is generally paid until the investment is redeemed. The actual amount will vary over time according to the mix of the underlying investments and the total value of your funds under management. The actual amount will be dependent on the investment options implemented.

The agreed ongoing fee is the way we charge for the ongoing service that we provide. If at any time you wish to discuss this you can do so.

I am an authorised representative of Pareto Group Pty Ltd (ABN 11 155 278 078), which holds an Australian Financial Services Licence (AFSL #418700).

Disclosure Statement

To help you understand the full benefits, details and risks of our recommended products, please read the Product Disclosure Statements that we will provide you.

Please let us know if you have any questions.

Cooling-off periods

After investing in a financial product, you have a “cooling-off” period in which to change your mind if you don’t think the product meets your needs. The cooling-off period usually starts when you’re told the product has been set up. The length of the period varies with each product.

Each Product Disclosure Statement explains your cooling-off rights.

If you wish to cancel a product, please tell us in writing so we can contact the product issuer within the time restrictions.

No guarantee

The investments we recommend for you must be appropriate for you. However, we don’t guarantee they’re the best available or that they’ll perform in a particular way. Product performance depends on the features and risks described in the Product Disclosure Statements given to you.

Please take the time to read the PDS and understand the products we have recommended. If you have any questions, please contact us.

Tax

There will be tax implications if you act on this advice. We recommend you ask a tax professional to assess the impact on your short and long-term financial positions.

Are My Product Recommendations Restricted?

Non Superannuation Products

Yes, when making non superannuation product recommendations I can only choose products from our Approved Product List (APL). This list is compiled by a dedicated Investment Committee, made up of Research Manager, Directors and Representatives who carefully analyse investment products, prior to including any product on the APL. The Committee utilises leading industry research houses to assist with their analysis.

The APL is regularly reviewed to ensure that all funds, managers and investment companies continue to meet our ongoing stringent requirements.

Superannuation Products

Yes, when making superannuation product recommendations I can only choose products from our Approved Product List (APL). However, if you have a superannuation product that is not on our APL, I am still able to make recommendations in relation to that fund providing I have conducted the necessary research and have a thorough knowledge of the fund.

What is My Responsibility to You?

I am responsible for providing you a 'clear, concise & an effective' method of communicating my recommendations to you. The recommendations are based on your goals and objectives, personal and financial situations, and other information collected from you. The recommendations are appropriate for your needs and current situation.

As the SoA is specifically prepared for you and based on your situation, I do not take any responsibility for any third-party persons acting on all or on a part of any advice or recommendations made in this SoA.

Do I Guarantee the Investments I have recommended?

No. By law, the investments I have recommended must be appropriate to you, however, I do not guarantee that the recommended investments are the best for you or that they will perform in a certain way.

Your Financial Plan

In preparing this plan we have taken into account your specific goals and objectives, and have designed an appropriate strategy that aims to accomplish these.

It is important to appreciate that we live in an ever changing world. Accordingly, it is probable that, overtime, the basis of our calculations (inflation rates, investment rates etc) will change, as will your own requirements and expectations. It is therefore recommended you review your plan on a regular basis to ensure you are still on track to achieve investment objectives.

It is essential to have your investment portfolio reviewed to ensure that the investments are working to their maximum potential and any changes to the investment markets, taxation etc. are promptly and correctly responded to.

Next steps

How to get started

To implement our recommendations in this plan, please do the following:

- Make sure you read this Statement of Advice and Product Disclosure Statements
- Contact us if you have any questions
- Tell us immediately if any information is incorrect
- Complete the application forms in the Product Disclosure Statements
- Sign and date the Authority to Proceed
- Return the forms to us
- Retain a copy for your records

Finally

Please note, as with any investments, their future value may fluctuate, particular rates of return cannot be guaranteed and you may not get back what you originally invested. We have provided a brief summary of the managed investment products recommended, however, you will need to study the investment statements of the recommended products carefully before you decide to invest.

Appendix A – Retirement Capital Projections

Appendix B – Challenger Guaranteed Annuity Quote & Calculations

Appendix C – Lonsec Reports
